

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers	Reference:	10/17/1
Edition	Date	Directive	Status
1st	1 September 2003	139.B.i	In force
2nd	-	-	-
3rd	-	-	-

DIRECTIVE ON AMENDMENTS TO THE SHORT-TERM INSURANCE ACT, 1998

1. Purpose of this directive

You are hereby notified that the Insurance Amendment Act, 2003 (Act No 17 of 2003), which contain the amendments to the Short-term Insurance Act, 1998, was published in Government Gazette No 25230 of 23 July 2003. The said Amendment Act came into operation on 1 August 2003 in terms of the President's Proclamation No. 61, 2003, published in Government Gazette No 25290 of 31 July 2003.

2. The effect of the amendments to the Short-term Insurance Act, 1998 is briefly elucidated hereunder.

2.1. **Section 1- Definitions**

2.1.1. The definition of "executive management" is expanded to include not only the chief executive officer but also a manager who reports directly to the chief executive officer. This amendment is necessary since:

- (i) it is desirable, from a regulatory point of view, that the chief executive officer and a manager reporting to the chief executive officer must be fit and proper; and
- (ii) the concept of "fit and proper" must not only apply to a person, but also to the top management of a short-term insurer.

2.1.2. The definition of "Lloyd's underwriter" has been expanded to also include a non-underwriting member of Lloyd's.

2.2. **Section 4 – Misleading advertising material**

Consumers need to have confidence that they are dealing with registered entities and therefore Subsection (3) of this section is expanded to ensure that advertising material which relates to a short-term insurance policy must include the name of the short-term

insurer who underwrites the policy.

2.3. **Section 8(2) – Name of insurer**

This subsection is expanded to include the requirement to obtain the Registrar's approval also if a translation, shortened form or derivative of the short-term insurer's name is changed.

2.4. **Section 18 – Notification of certain appointments, terminations and registration**

This section provided that the Registrar has to be notified by the insurer of a director or managing director that resigns or whose appointment has been terminated and the reasons therefore. Section 18 has been extended to allow the Registrar to also request the director or managing director who resigns or whose appointment has been terminated by the insurer to give further information in writing of any matter relating to the affairs of that insurer which that person became aware of, which may prejudice the insurer's ability to comply with the provisions of the Act. Furthermore that person is indemnified if and when that is done.

Resignations and terminations of appointments may be the result of irregular circumstances in an insurer's internal affairs and it is necessary that a feasible mechanism be created for information thereon to reach the Registrar as soon as possible as the interests of policyholders and other stakeholders may be at risk.

2.5. **Section 23 – Preference shares, debentures, share capital and share warrants**

Section 23(a)(vi) is amended as a consequence of the deletions of sections 83 and 84 of the Companies Act.

Sections 23(a)(vii) and (viii) are added. This addition in regard to the issuing of different classes of ordinary shares is necessary to regulate short-term insurers, which conduct their business on a cell basis. The objective of cell business is to differentiate between profits to different shareholders, which is achieved through the issuing of different classes of shares. Other kinds of shares and loan capital are already in terms of section 23, subject to approval by the Registrar.

Section 23(a)(ix) is also added. This addition regulates the acquisition of shares directly or indirectly in a short-term insurer by its subsidiary. The direct or indirect acquisition by a subsidiary of shares in an insurer has an impact on the financial soundness condition of the insurer. It is therefore imperative for the Registrar to approve such transaction subject to conditions prior to it being affected.

2.6. **Section 25 – Limitation on control and certain shareholding or other interest in short-term insurers.**

The amendment to this section was to replace the expression "associate" with "related party". This replacement is necessary in order to be more closely in line and to avoid misinterpretation with South African Statements of Generally Accepted Accounting Practice.

2.7. **Section 33 – Prohibitions concerning assets and certain liabilities**

Paragraph (e) to subsection 1 of this section is inserted. The purpose of this addition is to enable an insurer to apply for approval to include shares held directly or indirectly in its

holding company in its assets. Shares held in this manner may have an impact on the financial soundness condition of the insurer due to exposure in the group. It is therefore imperative for the Registrar to approve such holding. In this regard also refer to Directive 141.B.i issued by this Office dated 1 August 2003.

2.8. Section 47 – Copy of policy and inspection of policy records

This section is amended to entitle a policyholder to obtain a copy of his or her policy. This is to be in line with the requirement in the Long-term Insurance Act, 1998.

2.9. Section 53 – Materiality of misrepresentation

The intention in the newly worded section 53(1) is only to clearly broaden the scope of the expression “representation”. In strict law this expression in this context basically and in the first place refers to representations by means of positive acts (“misrepresentations *per commissionem*”) committed by a policyholder, but can according to legal dogmatics also be interpreted as covering (negative) cases of *omissions* (“misrepresentations *per omissionem*”), such as failures to disclose certain information. The intention behind the new section 53(1) is to make this legal position clear in order to promote the extension of the relative protection granted in the section to policyholders who are guilty of non-material inaccuracies. In conjunction with this aim, the new paragraph (b) of section 53(1) intends to legally clarify the concept of “materiality” of representations.

The new wording should clearly promote legal certainty as regards the exact intention behind section 53(1)(a), and also clarifies the legal position following conflicting views expressed in two judgments of the Supreme Court of Appeal. The Ombudsman for Long-term Insurance, the Honourable Judge J. H. Steyn has recommended the proposed amendment. As regards the new section 53(1)(b), this summarises views on the relevant “materiality” as enunciated by the Courts.

2.10. Schedule 1 – Kinds of assets

(a) Definition of “securities”

The previous concluding words “and other financial instruments of whatever nature” of the definition of “securities” affected a virtual unlimited extension of the definition. The wide effect of the previous wording has to be limited for the sake of legal certainty. The Registrar is now empowered to prescribe the other new kinds of financial instruments that are continuously being developed.

- (b)** Paragraph 2(b)(i) of Schedule 1 made that a requirement for the Registrar to approve a counterparty to an over-the-counter instrument. It was practically not possible for the Registrar to approve each and every counterparty. Instead of approving the counterparty the Registrar will now approve the relevant conditional criteria for a counterparty.
- (c)** Item 16(1) of the Table to Schedule 1 refers to “debentures” which are already included in the definition of “securities” in paragraph 1 of the Schedule.
- (d)** Item 16(5) in the Table to Schedule 1 previously determined that listed securities and shares issued by a foreign government or institution would have been regarded as an asset in the Republic, which short-term insurers must hold, if the Registrar had recognized the stock exchange or the country in which a regulated

market existed.

Essentially the effect of these amendments to paragraph 16(5) are that the relevant assets still are regarded as assets in the Republic, but the stock exchange or the country within which a regulated market exists, shall no longer be subject to the recognition of the Registrar. These assets however remain subject to the spreading limitations required in terms of section 30 of the Short-term Insurance Act.

Investing on a recognised stock exchange or in a country within which a regulated market exists is not necessarily a guarantee that it will be a good investment. The amendments have the effect that greater responsibility will be placed on the directors of short-term insurance companies to assess the risks in investing on foreign stock exchanges and regulated markets. Furthermore, this will facilitate investments in e.g. SADC and other developing countries without having to wait for the Registrar's recognition.

- (e) Item 20 in the Table to Schedule 1 was amended to allow also for claims against, and stocks and shares in, a body that is not incorporated and registered in the Republic, but which in the opinion of the Registrar carries on business in the Republic.

The item is re-arranged to allow also for claims against, and for stocks and shares in, a body corporate which is not incorporated and registered in the Republic, but which in the opinion of the Registrar carries on business in the Republic.

The amendment was necessary since -

- unintended consequences resulted from the previous wording, such as a claim against a stock or share of a body corporate;
- only claims are allowed as an asset in terms of the current wording; and
- claims against, and stocks and shares in, a body corporate described above should be allowed as an asset as they were allowed in the Insurance Act, 1943.

2.11. **Schedule 2**

Paragraph 1(a) in Part I of Schedule 2 determines which assets shall be disregarded in the calculation of the value of the assets of an insurer. One of the amounts to be disregarded is the amount representing a negative liability.

Paragraph 1(a)(v) was amended to delete “a negative liability” and to allow for a claim against a reinsurer in terms of a reinsurance contract to be regarded as an asset.

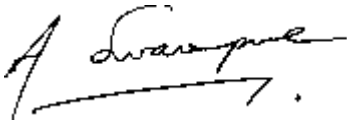
The amendment was necessary since the term “negative liability” does not have a clear meaning in the accounting profession.

2.12. **Schedule 3**

The proviso to paragraph 8(1) of Schedule 3 provides that the transitional provisions contained in that paragraph shall cease to apply if obligations under a Lloyd's policy are reinsured and the Registrar and Lloyd's so agree.

The amendment makes it clear that the transitional provisions will cease to apply in the event of either the one or the other occurrence.

3. This directive is available on the website of the FSB (www.fsb.co.za) and the insurer must bring it to the attention of its auditor (appointed under section 19 of the Act)

A handwritten signature in black ink, appearing to read 'A. Swaneveld', with a horizontal line extending from the end of the signature.

pp REGISTRAR OF SHORT-TERM INSURANCE